

If good content is the magnet that OTTs are betting on to attract viewers, technology is the coating that will make them stick, especially as people are on the move again

But monetisation is a big challenge for OTTs, especially as content costs are rising. Netflix—which accounts for about 30 per cent of the revenue share in the SVOD (subscription video on demand) market—is considering an ad-supported model. Likewise, aha is also rolling out an AVOD version. “We are introducing freemium because there are a lot of people who are not paying, and we want them to continue on the platform,” says aha’s Thakur. India’s digital video audience count stands at 353.2 million, but there are only 40.7 million paying subscribers, according to Ormax data. Meanwhile, AVOD player MX Player has launched an SVOD version, MX Gold, to cater to viewers who prefer ad-free viewing. It indicates an increasing shift towards a middle ground called ‘freemium’, where a part of the content is available for free with ads, while premium subscribers can view content ad-free. From a one-size-fits-all model, the pendulum is swinging back to multiple free and paid models similar to the western concepts of completely free TV, cable, premium cable, and pay per view, among others, explains Bedi.

THUS FAR, OTT streaming has largely been an urban phenomenon. As the players look to expand to the smaller cities and towns, especially with their regional content, bundling with telecom operators will become inevitable, concede the players. It is harder to penetrate deeper through regular marketing methods, they say. Voot—a cousin of telecom operator Reliance Jio that has 405 million users—and MX Player with its 280 million AVOD monthly average users (MAU) have an edge over the others in distributing their content. “The distribution models are evolving. There will be a move towards aggregation, and there will be an opportunity to use the Jio platform in a strategic way,” says Voot’s Rakshit, adding that the rate of that change is not clear at this point.

For others, telecom bundling leads to cannibalisation of the user base, and reduces the already low OTT average revenues per users (ARPU), experts say. Mohta says hoichoi, which is bundled on JioFiber’s postpaid plan,

has not seen its user base cannibalised. “That’s why we focussed on going deeper into that. Telecom has a massive subscriber base. It’s the only way to reach the audience at a very deep Tier II and Tier III level, at least for the next 1-2 years.” But Ormax’s Kapoor points out that the subscribers gained may not convert into increased revenues. “The revenue would be pretty low, less than 20 per cent,” he says. But hoichoi’s Mohta says that on a net basis, it’s a fair arrangement. “You might have to do a lot of marketing and other activities to acquire that customer otherwise.” His rationale is the same for getting on Prime Video Channels—Amazon’s venture into aggregation. The idea is to enable subscribers to access 12 OTT services, while the aggregated apps can get a much better reach for a fee.

Other streamers like SonyLIV are experimenting with physical sale of subscriptions in areas with high footfalls. “The OTT industry is still in its customer acquisition stage, and not retention unlike other internet companies such as food tech. The market is heavily fragmented, and OTTs are still spending a lot to acquire customers, be it through acquiring digital rights of films, or freebies, or cheap promotional plans through telecom partners,” says Karan Taurani, Senior Vice President at Elara Capital.

Amazon’s Gandhi doesn’t see the OTT market as fragmented, but segmented and growing across consumer cohorts, languages and geographies. “That’s the streaming world. It’s about realising the multiple opportunities, and going after them. Ultimately, it’s about what content you have and which consumer base you are looking to serve.”

It’s a ₹21,000-crore pie for the taking, over the next four years. And the routes to that promised pie are many, from original content, sports, and movie acquisitions to enhanced services of gaming, shopping, interactivity, bundling, partnerships, aggregation, AVOD, SVOD or through TV-on-demand content. But the battle for eyeballs rages on. **BT**

@SaysVidya